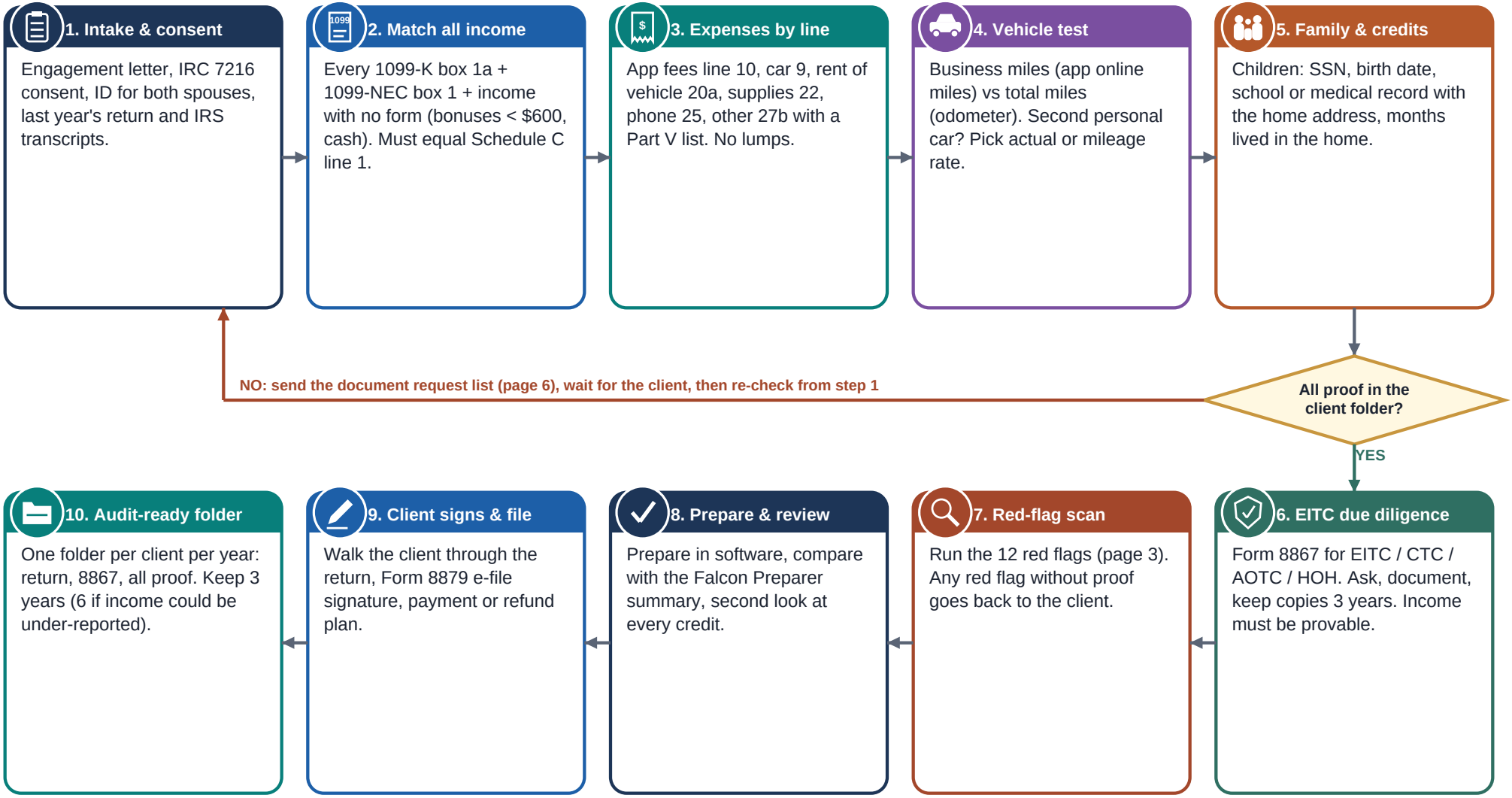
The 10-step flow: from intake to an audit-ready file

Follow left to right, top row then bottom row. Gold diamonds are decisions; do not file until every step is green.



Golden rule: a number on the return is only as strong as the document behind it. If it cannot be proven, it does not go on the return, or it goes on with a lower, provable amount.

Vehicle decision tree (rideshare, delivery, any business car)

Cars need written records (IRC 274(d)). Without miles, an auditor can disallow the whole car deduction.

Does the family have a separate personal car?

NO

Business share only

Business % = app online miles / total odometer miles (example 40,000 / 45,000 = 89%). School runs, errands and family trips are personal.

YES

Near 100% business is believable

Keep: personal car registration + insurance, rental/lease contract, odometer start and end, app online miles. Note any gap (gas, car wash, rental office, positioning = business).

Owned, leased / long-term rental, or short rentals?

Owned

Choose the mileage rate in the FIRST year to keep both options later. Actual costs need depreciation (Form 4562).

Leased / long-term rental

Treated like a lease. Actual: rent + gas + insurance + repairs x business %. Mileage rate: if chosen, keep it for the whole lease.

Short rentals

Keep every rental agreement (odometer out/in). Actual costs usually win when weekly rent is high.

Always compare both methods (the Falcon estimator does it automatically):
Mileage rate 2026 = business miles Jan-Jun x $0.725 + Jul-Dec x $0.76 (2025: $0.70). Actual = (rent or depreciation + gas + insurance + repairs + car wash) x business %.
Tolls and parking for business trips count under either method. App fees are NOT car costs: they go on line 10. Meals for drivers who sleep at home: not deductible.

Step-by-step checklist and the 12 red flags

Tick every line before filing. A red flag is fine only when the proof is in the folder.

☐	**1 Intake**	Engagement letter signed · 7216 consent · photo ID both spouses · prior-year return · IRS account transcript (income, payments).
☐	**2 Income**	List every 1099-K, 1099-NEC, W-2, 1099-G/R/INT · app tax summaries · add income with no form · total = line 1.
☐	**3 Expenses**	Sort by Schedule C line · app fees from summaries to line 10 · every 'other' item listed in Part V · receipts or bank statements.
☐	**4 Vehicle**	Odometer start/end photo · rental or lease contract · app online miles Jan-Jun / Jul-Dec · method chosen and why.
☐	**5 Family**	SSN cards · birth certificates · school/medical/lease record with the same address · months in the home · HOH: who pays the home costs.
☐	**6 Due diligence**	Form 8867 answered from documents, not memory · copies kept 3 years · inconsistent answers asked and noted.
☐	**7 Payments**	Withholding only from real W-2/1099 boxes · estimated payments confirmed on the IRS account · no guessed numbers.
☐	**8 Review**	Return vs Falcon Preparer summary · every credit recalculated · material participation = Yes for working owners.
☐	**9 Sign & file**	Explain refund drivers to the client · 8879 signed · bank info verified · copy of return given.
☐	**10 Folder**	Return + 8867 + all proof scanned to the secure portal · retention date noted (3 years; 6 if large income risk).

12 red flags the IRS notices

1. Income does not equal the 1099-K + 1099-NEC totals
2. One big 'other expenses' lump (over 10% of receipts)
3. Car costs with no mileage record, or 100% business with one family car
4. Meals for a driver who sleeps at home
5. Withholding that no form shows
6. Profit landing exactly where the EITC is highest, with weak records
7. Round numbers everywhere (e.g. gas exactly $15,000.00)
8. Material participation 'No' for a working owner
9. Business code 999000 / no description (use 485310 for rideshare)
10. Children with no record of living in the home
11. Head of household without a qualifying person or home costs
12. Large losses year after year (hobby-loss rules)

Worked example: married rideshare driver, 2 children (illustrative, 2026 rules)

Made-up round numbers. Same facts, filed two ways: the math is right in both; only the second survives an IRS letter.

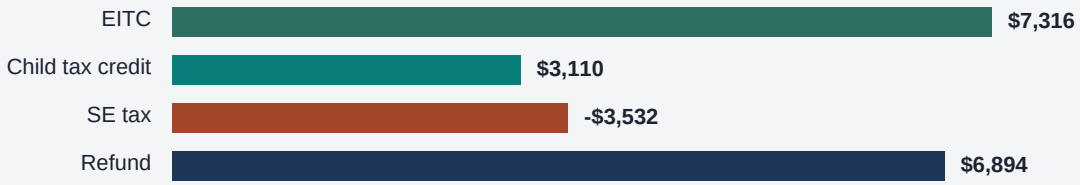
As filed: correct math, weak file

Income	$80,000, matches every 1099: OK
Expenses	$20,000 in one 'other' lump
Car	$30,000 with no mileage record in the file
Meals	$750 deducted
Line G	Material participation: No
Refund	$6,894 (EITC $7,316 + child tax credit $3,110 - SE tax $3,532)
If audited	Car disallowed: profit $55,000, family owes about $1,770. Swing about $8,700 + 20% penalty + interest.

Defensible: same facts, with proof

Income	Same $80,000, with the forms and app summaries in the folder
App fees	Line 10 with the amounts from the app tax summaries
Car	Rental + gas + car wash at about 100% (separate personal car), odometer start/end + online miles
Meals	Removed
Line G	Material participation: Yes
Refund	About the same
If audited	Send the folder: refund stays.

What the refund is made of (as filed)



No tax was withheld. The whole refund is refundable credits, so it depends on the business profit being provable. That is exactly what the IRS checks on self-employed EITC returns.

If an IRS letter arrives

Most rideshare / EITC audits are by mail. Answer on time, send copies (never originals), keep proof of mailing.

1. Read the letter

Note the notice number and the reply-by date. Common: CP2000 (income mismatch), CP75 / Form 886-H-EIC (EITC proof), letter 566 (exam).

2. Get authority

Form 2848 power of attorney (or 8821 for information only) so you can speak for the client.

3. Pull the folder

Use the audit-ready folder. Match each item the letter asks for to a document.

4. Answer each point

Cover letter + numbered exhibits. Short and factual. Agree with what is right; explain what is not.

5. Send and track

Fax, upload or certified mail before the deadline. Calendar a follow-up in 30-45 days.

6. Outcome

Accepted: done. Changes proposed: agree, or ask for a manager / appeal. Can't pay: payment plan.

Never ignore a letter. No answer means the IRS proposal becomes final and the refund is taken back.

Common EITC proof the IRS asks for: school, medical, day-care or lease records showing each child at the same address for over half the year; business records for self-employment income.

Penalties to know: 20% accuracy-related penalty on the extra tax; EITC ban of 2 years (reckless) or 10 years (fraud); preparer due-diligence penalty for each missing Form 8867 requirement (about $650 per failure, adjusted yearly).

Deadlines: the reply-by date in the letter (usually 30 days). If more time is needed, call the number on the letter before the date and ask for an extension.

Client document request list and the year-round calendar

Hand or text this list to every self-employed client. Same list every year.

Income

- ☐ All 1099-K, 1099-NEC (Uber, Lyft, DoorDash...)
- ☐ App annual tax summaries (fees, online miles)
- ☐ Any W-2, 1099-G, 1099-R, 1099-INT
- ☐ Cash or bonus income with no form

Vehicle

- ☐ Rental / lease contract and monthly statements
- ☐ Odometer photo Jan 1 and Dec 31 (or rental start/end)
- ☐ Gas, car wash, repair, insurance receipts or bank statements
- ☐ Personal car registration + insurance (if any)

Business costs

- ☐ Phone bill (business share)
- ☐ Supplies, accessories, passenger items
- ☐ Tolls and parking statements
- ☐ Anything over $2,500 (purchase date and price)

Family

- ☐ SSN cards and birth certificates (children)
- ☐ School or medical record with home address
- ☐ Childcare provider name, tax ID, amount
- ☐ Lease or utility bill in your name

Payments

- ☐ IRS and state estimated payment confirmations
- ☐ Last year's return and any IRS letters
- ☐ Bank account for direct deposit
- ☐ Photo ID for both spouses

Year-round calendar

Jan	Feb-Mar	Apr 15	Jun 15	Sep 15	Oct 15	Dec 31	Jan 15
1099s and app summaries arrive. Odometer photo Jan 1. Book the appointment.	Run steps 1-10. EITC refunds release from mid-February.	Filing deadline and Q1 estimated payment.	Q2 estimate. Mid-year odometer photo (2026 mileage rate changes Jul 1).	Q3 estimate. Mid-year check-in: profit on track?	Extended returns due.	Odometer photo. Year-end: buy needed equipment, fund SEP/IRA plan.	Q4 estimated payment for last year.

Privacy: collect documents only through the secure portal, never by email or text. Keep files under your written security plan (WISP); delete or archive at the end of the retention period. Never put real client data into test tools or examples.